Fragile Reprieve

Trump postpones power plant strikes five days as markets rally, but oil rebounds overnight and the war continues unabated.

MARKETS

Monday delivered the first broad-based rally since the war began. The S&P 500 rose 1.15% to 6,581, the Dow gained 1.38%, and the Russell 2000 led at +2.16% — a small-cap risk-on bid suggesting short covering and cyclical rotation rather than a fundamental repricing. Consumer discretionary topped sectors at +2.21%, while healthcare and staples were the only sectors in the red. UVXY fell 7.80% as volatility compressed. The catalyst: Trump's announcement that he was postponing power plant strikes for five days, citing productive talks with Iran.

The overnight session, however, tempers the optimism. S&P futures are trading roughly flat, while Brent crude has already bounced 3% to approximately $103 in Asian trading. The market is pricing a pause in escalation, not a resolution. Brent's single-session decline of approximately 10% to roughly $101 was its sharpest drop since the conflict started on February 28. WTI fell below $90. Goldman Sachs raised its recession probability to 30%, noting that even in a de-escalation scenario, elevated oil prices could subtract 0.4% from global GDP growth and add roughly 1% to global headline inflation. The EIA forecasts Brent remaining above $95 for the next two months.

Gold fell 2.3% to approximately $4,418, extending its losing streak. The metal is now roughly 21% below its January 29 all-time high near $5,595. Dollar strength, forced margin liquidation, and the unwinding of war-premium trades continue to weigh. Overnight, gold slipped further toward $4,340. Yet IOWN's gold miners diverged sharply: **AEM rose 2.74% and GFI surged 4.66%**. When miners rally while the underlying commodity declines, it historically tends to signal that the market is beginning to anticipate a floor.

The digital asset sleeve led IOWN's performance. **HUT surged 11.55%, MARA gained 5.32%, COIN rose 1.58%, and HOOD added 2.26%.** Bitcoin recovered to approximately $70,600 from its weekend low near $68,000, as the de-escalation narrative reduced the cross-asset liquidation pressure. IBIT gained 0.70% and ETHA added 1.12%. In the energy sleeve, VLO fell 1.03% — refiners may be pricing in crack spread normalization — while CVX (+1.73%) and OKE (+0.80%) held, suggesting integrated energy and midstream exposure continue to provide portfolio resilience.

The semiconductor sleeve also caught a strong bid. LRCX rose 2.17%, TSM gained 2.80%, and KEYS surged 4.12%, boosted by Tesla's $25B Terafab chip fab announcement and the broader de-escalation relief. NVDA added 1.70%. The combination of domestic chip investment signals and reduced geopolitical tail risk provided a constructive backdrop for IOWN's technology exposure.

IOWN Tactical: Monday's rally was driven by what Trump said, not by what Iran did. Until the strikes stop and Hormuz transit resumes in a meaningful way, the underlying risk profile has not changed — only the market's willingness to price hope has. Oil's 3% overnight bounce is the market's own hedge against that hope being misplaced. Think Like an Owner — we evaluate the five-day window with clear eyes, not optimistic ones.

GEOPOLITICS

The ultimatum that dominated Monday's pre-market setup expired without action. Hours before the deadline, Trump announced a five-day pause on power plant strikes, claiming productive conversations with Iran and major points of agreement. Iran's Foreign Ministry denied any dialogue with Washington. However, a senior Iranian official subsequently told CBS News that Tehran had received points from the U.S. through mediators that were being reviewed. The contradiction is itself informative: the U.S. appears to need the optics of diplomatic progress, while Iran cannot be seen domestically as capitulating.

Meetings over the past 24 hours have brought together Turkey's Foreign Minister Fidan, Iran's Araghchi, and U.S. special envoy Witkoff, alongside parallel discussions involving Riyadh, Doha, Oman, Pakistan, Egypt, and China. Trump's stated objectives — halting uranium enrichment and removing enriched uranium — represent maximalist positions that Tehran has historically rejected. Iran's military adviser to the supreme leader stated the war would continue until Iran receives full compensation for all damage sustained — a condition that is functionally a rejection of any near-term ceasefire framework.

The diplomatic rhetoric runs parallel to continued military escalation. Israel struck targets in central Tehran on Monday, describing operations in the heart of Iran. U.S. Central Command reports more than 9,000 targets hit and 140+ naval vessels destroyed since February 28. The conflict's regional spread widened: Saudi Arabia reported missiles launched toward Riyadh, and the UAE intercepted a missile targeting Abu Dhabi. The Lebanese Health Ministry reports at least 1,039 killed from Israeli strikes in Lebanon since March 2. The gap between diplomatic signals and battlefield reality remains as wide as at any point in this conflict.

The five-day pause creates a window through approximately Saturday, March 29. If mediators can produce even a preliminary framework — perhaps formalizing Hormuz transit rights for non-combatant nations — the relief trade could extend. If the five days expire without progress, the power plant strike threat returns. For IOWN, the portfolio remains positioned through the range of outcomes: energy infrastructure for sustained disruption, defense for escalation, and the broader sleeves for eventual normalization that could still be weeks or months away.

ON OUR RADAR

1. Oil's overnight bounce is today's key signal. Brent rebounded approximately 3% to $103 in Asian trading after Monday's 10% crash. If oil continues climbing through the US session, it would suggest the market views the five-day pause as temporary. If Brent holds below $105, the relief trade may extend through mid-week. IOWN's energy sleeve (CVX, VLO, OKE) remains positioned for either path.

2. Flash PMIs arrive today — first hard data on the war's economic impact. Eurozone and UK readings due this morning; US flash PMIs Wednesday. France's factory PMI is expected to slip below 50. If US services contracts below 50 on Wednesday, the stagflation narrative intensifies. The March dot plot projects only one to two cuts this year with PCE inflation revised to 2.7%. Rate-sensitive holdings (NEE, BKH, ATO) could face pressure if the data confirms economic damage.

3. KB Home reports Q1 after close — read-through for TOL. Analysts expect a 65% EPS decline amid elevated mortgage rates. TOL rallied 4.53% on Monday. If KBH confirms Q1 as the margin trough, the housing thesis strengthens. The 10-year yield easing to 4.34% offers a modest tailwind.

4. Tesla's $25B Terafab lifted chip equipment names. LRCX +2.17%, TSM +2.80%, KEYS +4.12%. The joint venture with SpaceX and xAI to build an advanced 2nm fab in Austin signals growing demand for domestic chip manufacturing. Execution risk is high, but the demand signal is constructive for IOWN's semiconductor exposure.

5. China rare earth restrictions pressure defense independently of the de-escalation trade. LMT fell 1.78% despite the broad rally — a divergence that may reflect supply-chain concerns more than geopolitical repricing. GD (+0.46%) held better. The Xi-Trump summit later this month could address relief, though building alternative capacity could take years.

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